CHAPTER

# 10 Rural Economy

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'India Lives in Villages' – Mahatma Gandhi

## Learning Objectives

1. To understand the features of rural economy and to highlight the need to develop rural areas, and
2. To bring into the light the problems of rural villages and to familiarise the initiatives undertaken.

## 10.1 Introduction

Rural Economics deals with the application of economic principles in understanding and developing rural areas. In general, rural areas are geographical areas located outside towns and cities. According to the Census of India, the basic unit for rural areas is the revenue village. Rural economy refers to villages, and rural community refers to people living in villages. Rural areas have problems like backwardness of agriculture, low income , low employment opportunities, poverty, low infrastructural development, low illiteracy, low labour



productivity, lower prices of agricultural products, surplus labour force, larger population, high level of migration and high dependency on natural resources and nature. According to the 2011 Population



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